

HOUSE BILL 2032

By Harris

AN ACT to amend Tennessee Code Annotated, Title 12
and Title 49, relative to the procurement
opportunities available to private institutions of
higher education in this state.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Higher Education Purchasing
Act."

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 7, is amended by adding
the following as a new part:

49-7-2501. Legislative findings.

The general assembly finds and declares that:

(1) The public institutions of higher education in this state are permitted
to purchase goods and services through statewide procurement contracts that
provide significantly discounted pricing;

(2) Private colleges and universities, including nonprofit and minority-
serving institutions, are not allowed to purchase goods in the same manner as
public institutions and must pay higher prices for identical goods and services;

(3) Such increased procurement costs reduce the resources available to
private institutions for instruction, student aid, and campus operations; and

(4) Tennessee has a compelling interest in strengthening all institutions
of higher education in this state, regardless of governance structure.

49-7-2502. Definitions.

As used in this part:

(1) "Eligible private institution of higher education" means a private, nonprofit college or university that:

(A) Is accredited by a federally recognized accrediting body;

(B) Is located in this state; and

(C) Is authorized to operate in this state by the Tennessee higher education commission pursuant to part 20 of this chapter; and

(2) "State cooperative purchasing contract" means any statewide contract or master agreement administered by the department of general services or any other state procurement authority.

49-7-2503. Access to state purchasing contracts.

(a) An eligible private institution of higher education is permitted to purchase goods and services through state cooperative purchasing contracts on the same terms and pricing available to public institutions of higher education.

(b) Participation in a state cooperative purchase contract is voluntary and does not require state appropriations or a state subsidy in any annual state budget.

(c) The state is not financially responsible for any purchases or contracts made by an eligible private institution of higher education pursuant to this part.

49-7-2504. Non-interference with state procurement.

(a) Access granted pursuant to this part must not:

(1) Reduce the availability of any goods or services available to public institutions of higher education;

(2) Increase the price of goods or services paid by the state; or

(3) Create any state liability.

(b) Vendors participating in state contracts shall not charge eligible private institutions of higher education higher prices for the same goods or services provided to public institutions of higher education.

49-7-2505. Administrative implementation.

(a) The department of general services, in coordination with the Tennessee higher education commission, shall establish a simple enrollment and verification process to allow eligible private institutions of higher education to participate in state cooperative purchasing contracts.

(b) The department or commission shall not charge any eligible private institution of higher education a participation fee or any other fee in order to participate in state cooperative purchasing contracts pursuant to this part.

49-7-2506. Protection against contract retaliation.

(a) A vendor shall not:

(1) Refuse to sell or provide goods or services to an eligible private institution of higher education that elects to participate in this part; or

(2) Terminate or alter its pricing in retaliation for an eligible private institution of higher education electing to participate in this part.

(b) A violation of this section is an unfair trade practice for purposes of the Unfair Trade Practice and Advertising Act, compiled in title 47, chapter 25, part 9.

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is

requested to include the headings in any compilation or publication containing this act.

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it.